

CHAPTER IV FINDINGS; BUSINESS SOLUTION

IV.1 PESTEL Analysis & Findings.

Before conducting the user-based valuation approach to PT. GoTo Gojek Tokopedia, the research will first conduct external factors analysis through PESTLE. The findings in PESTEL analysis will have two purposes which are; i) analyzing and identifying the external factors and phenomena that positively affects the company potential future growth, and ii) identifying findings in supporting the valuation approach. Below will be elaborated on the PESTEL analysis.

1. Political

Currently, the company and the industry is not affected by any actual political instability. As a proof, during the latest presidential election there are no problems arising or occurring among the companies and the industry. If there's a debate in the declining price/share of the company, it is due to the financial performance of the company itself (Yahoofinance, 2024). If the country is able to maintain the political stability, the company would grow both in short and long-run and would have no obstacle in conducting their operations. On the other hand, the instability of the company comes from the demonstration that is regularly conducted to the government by the drivers and labor association (CNBC, 2022) with its various interests such as increase of wages, tariff, and bonuses. Through the demonstration, it could affect the company's performance, if the output (laws and regulation) is not aligned with the business vision and strategy. In addition, when the government could not produce a fair output (laws & tariff) the businesses could collapse as costs exceed its earnings, furthermore if the government could not comply with the demonstrant, it could cause a possibility of instability. In this case, the government should be fair in producing regulations to both parties, vice versa.

2. Economics

From the economics sectors, there are some most affecting variables that positively affect the company, they are the inflation rate and GDP/capita growth rate. Both of these variables affect the corporate expense of the company, costs to acquire

projects and innovations, and other costs related in operating the company. Indonesia is shown to have an average inflation rate of an average of 3.50% in the last decades (Appendix), and a stable 3-4% GDP/capita growth rate in the past 10 years (World Bank, 2023). If both of these variables fluctuate, the company could acquire a negative profitability both in the short and long run.

Secondly, in the field of economic factors there is threat from other competitors in the same market such as Grab, Shopee, Bukalapak, Lazada etc. Since GoTo is a result of two merging companies that are now combining its market (e-commerce & ride hailing), GoTo has a wider range of competition and they should provide the market with its competitiveness and to 'burn more of its money' to gain customer loyalty and acquire more customers. For example Shopee is becoming a serious threat to GoTo as they've burned an amount of 40 trillion rupiah during 2023 and have acquired a huge amount of revenue multiple times compare to GoTo (Setyowati, 2024), moreover the Indonesian market is very price sensitive. Compared to GoTo which has twice lower customer incentives (Appendix). If GoTo could not keep up with Shopee and other digital companies in terms of burning rate, the company would lose its users' and loyal customers. As it is shown in the appendix, the burning rate of GoTo is far below Shopee and this could pose a threat to the company. Last but not least, the government also must comply to maintain the inflation as it will affect the company operating costs and purchase power.

3. Social

Going in line with the economic factors, through the journal conducted by Sarjono et al (2022) mentioned that the top three most influential factors of customer and seller loyalty in Indonesia towards e-marketplace in Indonesia are i) service quality, ii) advertising, and iii) price discount/deals.

On the other hand, tragically the current reality that is occurring, customers' easily switch brands as long as they (e-Marketplace) could offer a cheaper price (eg. Tokopedia to Shopee with their various discount programs). Santoso & Napitupulu (2018) added that price is the main factor behind the high satisfaction and the loyalty of both customers and sellers, in which customers feel happy as the more benefit they

get compared to the expenditure and sellers are happy with the cost offered. Moreover, the characteristics of most Indonesian are very price sensitive and majority of them are in the middle-low level of economics. This social factor characteristic and behavior could bring the company at risk if they did not offer higher incentives to customers, as they are used to get/acquire discounts in the other e-marketplace, therefore the business operation should and must adapt with the environment and surroundings, which means the company must be able to allocate effectively the incentives costs allocate to customers, and lastly, cost must be maintain in order not to affect the number of users’.

4. Technological

Currently the world has been experiencing an advancement of technology and a fast globalization. For instance, it has been introduced by the innovation of electric vehicles launched in the market (car and motorcycle) such as Tesla, and other Chinese Companies. In addition, the other competitors in the ride-hailing services (Bluebird Group) have been using EV in order to get the attention from the market (gimmick), conduct environmental sustainability programs and minimize the tax incurred to their previous vehicle. Through this phenomena, the company has now introduced the electric motorcycle to be used in their operations. In the long-run, the company must focus on developing the use of more electric vehicles due to the factors of competitors in order to compete in the current market and also inlining with the company internal programs ‘Three Zero’.

Furthermore, in terms of the technology that has been implemented is the various e-wallet services, GoPay (GoTo, 2024). This service is due to compete with other competitors such as OVO (Grab) and to keep relevant in the market. If the company does not follow the technological trend, they’ll be losing interest from their customers and a downfall in sales.

5. Environmental

As the ride hailing and the e-commerce services and industry produce lots of pollution, carbons and waste to the society (Tirachini, 2020), PT GoTo Gojek Tokopedia is now focusing on environmental sustainability. Going inline with other

companies, government policies and sustainable trends, the company has been focusing on using EV, and reusable packaging to ship the products and services. As it mentioned (GoTo, 2024), the company currently has created a program called “Commitment Towards Three Zero”. This program consists of three sub-program which are zero carbon emission, zero waste, and zero obstacle. In the zero carbon program the company now uses EV (motorcycle) in GoJek, the zero waste by reusing/recycling the packaging of goods, and zero obstacle focuses on the opportunity of divables and creating opportunity for civilization. Through this program, the company hopes to minimize its packaging cost, and efficiency by using EV in the long-run. On the other hand, although it may cause a huge amount of investment cost in the short-run where they are conducting those programs and adapt (means changes) to the current environmental condition, the company could achieve a better competitiveness position and business sustainability.

6. Legal

Every company in Indonesia is basically ruled by the current (saame) laws and regulations that all companies are addressed to. In addition, currently there are no legal problems that affect the company's growth, as the company could still comply with the laws and regulations in Indonesia and the laws are still going inline with the company vision, mission and financial business strategy.

In addition, there are regulations from the government and authority that must be followed by the company specifically for the GoTo and their manpowers. According to Muljanto et al (2023) and Rosadi & Tahira (2018), the company must comply with the law and regulations below in order for them to have an excellent and as expected business growth;

1. Law Number 13 of 2003, a law and regulation addressed to manpower.
2. Regulation from the Minister of Transportation Number 108 of 2017, about the Implementation of Transportation of People with Public Motor Vehicle.
3. Partnership Cooperation Agreement between PT. GoTo Gojek Tokopedia, the Government, and drivers, also refers to the Law Number 20 of 2008.
4. Consumer Protection and Digital Economy, According to Law Number 8 of 1999

IV.1 PORTER FIVE FORCES Analysis & Findings.

1. **Threat of new entries (low);** in the market, is shown that there is a low threat of new entries to the industry. This is due to the lots of components that must be taken into account to build such a giant digital conglomeration multi-expertise company. The components are; a high amount of capital, a knowledge in the digital industry and, the technology that must be applied. This component creates barriers for newcomers and businesses that want to play in the industry. In Indonesia, PT. GoTo Gojek Tokopedia Tbk currently has a small number of competitors and from the last decades, there are only few new businesses entering the market due to its complexity in entering the industry (barrier).
2. **Threat of substitute (low);** currently, there are no potential technological services and products that might escalate and offer a better advantage (quality and price) than the multi-digital services provided by the company (PT. GoTo Gojek Tokopedia Tbk). Seeing this flat phenomenon, the threat of substitutes for products and services is considered to be low, as this also goes in line with the low threat of new entries (no innovation) meaning that this platform is the most advanced technology compared to others. In addition the advancement of technology and price offers of the company has also fulfilled the needs and expectations of the users’.
3. **Bargaining power of buyer (moderate);** in the market and industry, companies are competing to acquire new consumers by having a high burning rate (discounts) to attract people transacting in the platform. This attracts the majority of consumers and buyers to switch platforms to get the same product for a cheaper price. However, when the discount ends, competitors will go back and use the previous platforms or find cheaper alternatives. By this, the bargaining power of the buyer in the industry is considered moderate.
4. **Bargaining power of suppliers (low);** in this case, the threat of suppliers is considered low because of the limited suppliers. In addition, most of the digital platform companies are usually only applying a consignment method to their suppliers meaning that supplier puts the same price to all of the platforms.

5. Rivalry among competitors (moderate); as it also stated in the PESTEL analysis previously, there are not many competitors that are competing in the market. In addition only PT. GoTo Gojek Tokopedia who have two biggest digital company conglomerations. Rivalry among competitors will go inline with the bargaining power of buyers mentioned above. The higher the burning rate given by the competitors, the tighter the competition will be and the higher possibility of customers having a chance of cost switching and looking up for better advantage in terms of price and quality from other competitors.

IV.2 User-Based Valuation.

As it is mentioned in the theory, to conduct a user-based valuation approach there must be several steps to be conducted. First, the calculation must be able to provide the value of existing users', added by the value of potential additional users' and deduct it with the value of corporate expense. Furthermore, after acquiring the corporate value, it will be added by the cash & cash equivalent that the company has and subtract it with the company current liabilities/debt.

IV.2.1 The Company Financial History & Users'.

As it mentioned in chapter 1, PT. GoTo Gojek Tokopedia is a result of two merging entities in 2021, PT. GoJek Indonesia, and PT. Tokopedia. As this company has just merged two years ago, the financial statement (history) stated in IDX starts from the first quarter of 2021. Below will elaborate on the company financial trend of revenue, gross profit and net profit.

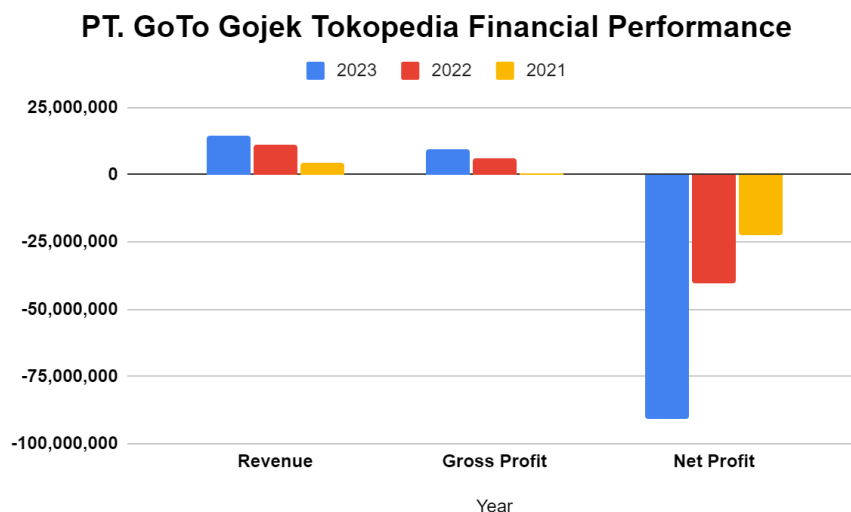


Figure 4.1 Company Financial Graph Trends

Source: Author (Appendix 2)

From the financial graph in the previous page, it is shown that the company increases its revenue significantly from 4,535,764 million rupiah in 2021 to 14,785,492 million rupiah in 2023. This is due to the lots of variety of revenue sources that the company has. In addition, the increase in revenue goes inline with the increase in gross profit, meaning that their COGS does not exceed the revenue and inline with the outcome. On the other hand, the company's net profit has worsened in the last three years. The company acquired a loss earning after tax (EAT) at -22,429,242 million rupiah in 2021 and an unbelievable loss of -90,518,676 million rupiah in 2023 (Appendix 1). If we break down further, a change of YoY growth of 2021-2022 and 2022-2023, the YoY revenue increases by 119.94%, the gross profit increases by 607.08% and the net profit of -43.85% (Appendix 2). Referring to the data, the YoY growth mentioned above has increased very significant as in the year of 2021, the company only operates within 6 months time/period.

Secondly, through this valuation, profitability ratio is needed in order to assess how profitable the company is. This research will use three profitability ratios that

will assess the company profitability. First, this research will analyze the gross profit margin, followed by the operating profit margin, and net profit margin from the income statement of the company (Appendix 1).

Table 4.1 Profitability Margin

PT. Gojek Tokopedia Net Income Margin			
Year	2023	2022	2021
Gross Profit Margin (%)	39.95%	25.60%	5.01%
Operating Profit Margin (%)	-42.37%	-132.29%	-147.42%
Net Profit Margin (%)	-373.11%	-176.25%	-147.71%

Source: Author (Appendix 2)

Referring from the table above, it is shown that PT. GoTo Gojek Tokopedia have performed a huge amount of financial losses. The company has decreased its net profit margin very significantly within three years from -147.71% in 2021 to -373.11% in 2023 (Appendix). The cause of this poor net profit margin is the huge amount of goodwill distributed stated in the total other finance costs. Beforehand, concerning the net loss, the company also could not conduct efficiency and effectiveness in conducting their operation causing a loss in the operating profit within three years time.

Last but not least, as the company only operates within 2.5 years time since merging, there will only be data of total number of users' starting from 2021 until 2023. The total number of users' will be represented through the data provided by Statista entitled "Number of Annual Transacting User's (ATU) of GOTO Group". Below will be shown the increase of users' data in the form of graphs.

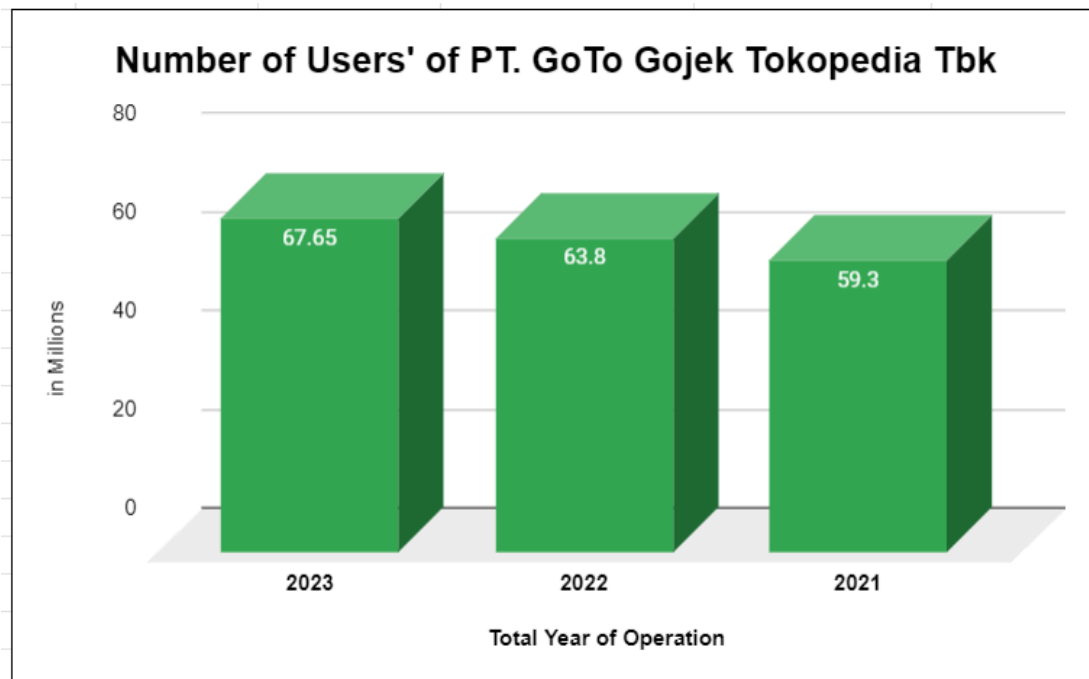


Figure 4.2 Users' Growth Trend

Source: Author (Statista, 2023)

From the graph above it is shown that the company have acquire a total number of active users' of 59.3 million in 2021, furthermore in 2022 the company have successfully increased its users' to 63.8 million and 67.65 million users' in 2023. In a percentage of users' growth, the company is able to increase a users' growth rate of 7.59% from 2021 to 2022 and 6.03% from 2022-2023 with a YoY of those two growth of 6.81%.

IV.2.2 Deconstructing Financial Statement.

After acquiring the total users' data and the historical financial statement of the company within three years time, we need to deconstruct the financial statement and users' data in order to get the base value and components to conduct the valuation process. The data that will be taken/used as the base year is the financial data of 2023 (Appendix 2 & 7).

First is the data related to the operating expense. In this research the operating expenses are divided into three parts which are costs to service existing users', cost of

additional users' and the corporate expense. Here are the expense breakdowns that will be shown below.

Table 4.2 Breakdown Operating Expense

Breakdown Operating Expense PT. GOTO Tbk (expressed in million rupiah)			
Year	2023	2022	2021
Cost of Revenue	5,093,179	5,479,970	3,775,719
Sales and Marketing Expense	6,430,776	14,087,664	8,931,263
General and Administrative Expense	5,647,458	12,705,888	7,786,832
Product and Development Expense	3,517,369	4,642,199	2,490,074
Depreciation and Amortization Expense	2,671,148	2,912,887	2,417,006
Operational and Support Expense	1,704,532	1,850,187	1,519,526
Total Operating Expense	25,064,462	41,678,795	26,920,420
Allocation of expenses (in million rupiah)			
Service Existing User	6,797,711	7,330,157	5,295,245
Corporate Expense	11,835,975	20,260,974	12,693,912
Cost of Add. User's	6,430,776	14,087,664	8,931,263
Total Operating Expense	25,064,462	41,678,795	26,920,420
Weight of expenses (%)			
Service Existing User (%)	27.1%	17.6%	19.7%
Corporate Expense (%)	47.2%	48.6%	47.2%
Cost of Add. User's (%)	25.7%	33.8%	33.2%

Source: Author (Appendix 2)

From the table in the previous page, service for existing users' expense incurred cost of revenue and operational and support expense of 5,093,179 and 1,704,532 million rupiah. In addition, the corporate expense includes general and administrative, product and development, and depreciation and amortization expense with a total amount of 11,835,975 million rupiah. Lastly, the expenses incurred to acquire new users' are the sales and marketing expenses with a total amount of 6,430,776 million rupiah. All of these will be used as a basis cost to calculate the three valuation components.

IV.2.3 Existing Users' Value.

To value PT GoTo Gojek Tokopedia existing/current user's there are several financial components that must be implemented and used as the assumptions of the findings. In addition, below are the assumptions used to support in determining the value of existing users'.

Table 4.3 Assumption to Existing Users'

Assumption	%	Reference	Points
Billings Growth	15.7%	Appendix	A
Revenue Growth	19.7%	Appendix	
Operating Expense Growth	18.01%	Below	B
WACC	22.65%	Appendix 5	C
Operating of Service/Revenue	45.98%	Appendix 5	D
Tax Expense	22%	PwC Flat Rate	E
Renewal Probability	95%	Freemium Service Platforms, Damodaran (2018), Rule of Thumb	F
Lifetime of Users'	15	Years	G

Source: Author (Appendix 7)

A. Billings & revenue growth.

In order to find the growth of billings & revenue, there are three important assumptions that must be combined (add) and proportionally weighted the same. They are the revenue growth rate in 22'-23' (30.28%), average user growth rate 22'-23' (6.03%) and ARPU 22'-23' (22.86%) (Appendix 7). After multiplying it all by its equal weighted score (33.3%) the result would be 19.7%. Here, we would not consider the 2021-2022 year as it could not determine the financial condition of the company as the company just merged in the second quarter of the year. Furthermore,

for billings growth (gross revenue) it is deducted by 4% that will determine the industry competitiveness from the analysis. The 4% is taken from the increase of gross transaction value in 2024 of digital companies all over Indonesia. By this the billings growth is growing at 15.7%, including the competitiveness index is also at around 4%.

B. Operating expense growth.

In determining the growth of the operating expense, there are three major variables that must be accumulated with the same weight. First are the ARPU growth rate of 22'-23' (22.86%), second is the average 10 years inflation (3.50%) (Appendix), and variable operating cost that is acquire by dividing the cost of revenue and the cost address to service its users (74.9%). After computing the three of them, the operating expense growth is at 18.01%. Hereby is the computation and formula to calculate.

$$\text{Growth OPEX} = (\%VOE) \cdot \text{ARPU growth rate} + (1 - \%VOE) \cdot \text{inflation rate (chapter 3)}$$

$$\begin{aligned}\text{Growth OPEX} &= (74.9\%) \cdot 22.86\% + (1 - \%74.9\%) \cdot 3.50\% \\ &= 18.01\%\end{aligned}$$

(IV.1)

C. WACC (Cost of Capital)

In order to find the WACC, there are four elements that should be used as an assumption. There are cost of equity (25.07%), cost of debt (22.99%), and a capital structure 33.97% consisting of its debt, and 66.03% belong to the company equity. Hereby the WACC to calculate the value of existing users' is set to be **22.65%** (Appendix). In the cost of capital it also includes a risk premium of 7,38%, risk free rate of 6.92% in which it determines the average 10 year government bond, country default spread of 2.07%, and beta 2.46x (Appendix). Furthermore, the same value of WACC will be used also in calculating the value of potential new users' and corporate drag expense value. Below is the computation table;

Table 4.4 WACC Computation (Appendix 5)

Cost of Capital (WACC)		
Cost of Equity	25.07%	References
Risk Free Rate	6.92%	10 Year of Government Bond
Beta	2.46	Market Watch
Risk Premium	7.38%	Damodaran Equity Risk Premium
Cost of Debt	22.99%	References
Risk Free Rate	6.92%	10 Year of Government Bond
Country Default Spread	2.07%	Aswath Damodaran 2024
Goto Default Spread	14.00%	Ratio Rating Synthetic Rating
Interest Coverage Ratio	-27.83	Ratio Rating
Capital Structure	%	References
Debt	33.97%	
Total Liabilities	18,377,256	Appendix 1 (million rupiah)
Total Assets	54,097,256	Appendix 1 (million rupiah)
Equity	66.03%	References
Total Equity	35,720,000	Appendix 1 (million rupiah)
Total Assets	54,097,256	Appendix 1 (million rupiah)
WACC (%)	22.65%	

Source: Author (Appendix 5)

D. Operating of revenue/service.

To calculate the operating cost of service/revenue as the base year, first we should determine the costs addressed to service an existing user in the current year (2023). For the company it is stated that the cost used to service its users' is 6,797,711 million rupiah, whilst the revenue acquired in that operating year is 14,785,492 million rupiah. Referring to the (Appendix), we divide the costs incurred with the net

revenue. By this, we would get a value of 45.98% of operating service costs out of the total revenue acquired.

E. Tax expense.

To compute the existing value of users', the tax rate applied is using the flat tax of 22% from PwC (2023). The tax rate will be applied by deducting the operating profit before tax of each user.

F. Annual Renewal probability.

Although the company did not provide the renewal probability data, we would use the most relevant assumption that could replace the actual data. Since the application that was made by PT. GoTo Gojek Tokopedia is free of charge or freemium, there is a higher possibility that people will use it all the time as long as the application is still relevant and up to date. To this background, we made the renewal probability of users' to **95%** a year after the base year (Damodaran, 2018). Lastly, the 95% is supported by the renewal rate of 95%.

G. Lifetime of users'.

Similar to the valuation conducted by Damodaran (2018) to uber previously, the assumption of ride hailing and e-commerce market will last for long especially where they can compete in price the lifetime of users' will at least last for 15 years. Furthermore, as what we see currently, GoJek and Tokopedia have also become the habit of Indonesians' civilization, where it might take a long time/lifetime for an individual to use the application.

Last but not least, after acquiring all of the data to support the assumptions in the valuation process, it is time to start the valuation process that will be shown through the table below.

Table 4.5 Computation Table of Existing Users'

Value of Existing Users' (expressed in BILLION rupiah)																
/User	Base Year	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
Max Life Indicator		1	1	1	1	1	1	1	1	1	1	1	1	1	1	1
Membership Survival	1	0,95	0,90	0,86	0,81	0,77	0,74	0,70	0,66	0,63	0,60	0,57	0,54	0,51	0,49	0,46
Gross Billings	358	414	480	555	642	743	860	995	1,151	1,332	1,541	1,783	2,063	2,387	2,762	3,196
Net Revenue	218	261	313	375	449	537	643	770	922	1,104	1,322	1,583	1,895	2,269	2,717	3,253
Cost of Operating Service	100	118	139	165	194	229	271	320	377	445	526	621	732	864	102	120
Operating Profit	118	143	173	209	254	307	372	450	544	658	796	962	1,162	1,404	1,696	2,049
Tax Rate	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%
Operating Profit After Tax	92	106	122	140	161	185	213	245	281	323	371	427	490	562	645	740
PV of Operating Profit		86	81	76	71	66	62	58	55	51	48	45	42	39	37	34
Value/User	857															
Life of User	15															
Number of Existing Users (in million)	67.65															
Value of Existing Users	57,987															

Source: Author (Appendix 8)

To calculate the value of the existing users', first we need to determine the lifetime of the projections with an assumption of 15 years (Damodaran, 2018). Afterwards we determine the lifetime renewal probability of users' at 95%. The value of 95% is due to the application that is free of charge (freemium) and users' will most likely use the application in the long run. The renewal probability is conducted by compounding the time factors (eg. year 10; $95\%^{10}$).

Then, we calculate the gross billings and revenue in the base year by dividing the gross revenue and total users' whilst the revenue by dividing net revenue and total users' in 2023 (Appendix). For the gross billings we acquire 358,617 (358) and 218,559 (218) million rupiah. Next we forecast both of their growth by 19.7%. Furthermore, we should calculate the base value of the company cost of operating service by multiplying the net revenue by 45.98%, we deduct the revenue with the result acquired and then we get the base value for operating profit of 118,075 (118) million rupiah as a base year. To obtain the operating profit of the company for the next 15 years, we add a growth of 18.01% of operating costs per year and apply the same formula for operating profit like the previous ones. After gaining the value of operating profit, we then deduct it all by 22%, a flat tax rate assuming this applies for all organizations, by then we the profit after tax. In the profit after tax segment, we

must multiply the result by the membership survival rate based on the year, remembering that it is the percentage of the leftover members/subscribers using the application.

Finally, after acquiring the profit after tax value across 15 years, we discount each year value by the WACC 22.65% to obtain the present value. By accumulating all of the present value, we would acquire the value of 857,175 (857) million rupiah per user. As it is mentioned that the company has 67.65 million users' by the year of 2023, the value of the existing users in that year is 57,987,872 (57,987) million rupiah.

IV.2.4 Additional Users' Value.

In the second step of the user-based valuation approach, the research objective is to find the value of additional potential users'. Below are the assumptions needed to acquire the value of new users' using growth across 10 years time to PT. GoTo Gojek Tokopedia Tbk.

Table 4.6 Assumption to Potential New Users'

Assumptions	Value	References	Explanation Notes
Cost to Acquire New User 21'-23' AVR	790,940	Appendix	A
New user Growth 1-5 Year	6.03%	Historical Growth User 22'-23'	B
New User Growth 6-10 Year	9.53%	Statista Digital Industry Growth	C
New User Growth >10	1%	Same as Damodaran Uber	D
Inflation Rate	3.50%	Ind Inflation '24 Yearly AVR Bank Indonesia	E
WACC	22.65%	Cost of Capital	F

Source: Author

A. Total expense in acquiring new users'.

A precise total expense in acquiring new users' is very important as it is used as a component to acquire the value per new users'. To obtain the value per new users' we should deduct the value per existing users' with the total expense itself. Here is the calculation to determine the expense addressed in acquiring a new users'.

$$\begin{aligned} \text{Expense in acquiring new users'} &= \frac{\text{Average marketing costs}}{\# \text{Average added riders} \cdot \text{Annual renewal probability}} \\ \text{Expense in acquiring new users'} &= \frac{((1,998,144 + 4,275,988)/2)}{(4.175 \cdot 95\%)} \\ &= 790,940 \text{ (790) million rupiah} \end{aligned} \quad (\text{IV.2})$$

From the computation above, the marketing costs have been determined in the income statement (Appendix), furthermore the value of 4.175 million rupiah (4.2) is the average growth of users' from 2021-2022 until 2022-2023, whilst the 95% is the renewal probability rate of users'. In this valuation, marketing costs are different from sales costs. In addition, we also assume the renewal rate is the same as valuing the existing users' of the company.

B. Annual growth rate 1-5 years.

For the first segment growth rate (year 1-5), we determine the growth rate through the growth rate of the users'. For PT. GoTo Gojek Tokopedia, the company has successfully increased its users' by 7.59% in 2021-2022. The total users' in that year have increased from 59.3 million to 63.8 million. Furthermore, the company is also able to increase its users' in the following year by 6.03% (63.8-67.65 million) in 2022-2023. Thus, by both of this growth rate, we would like to take an assumption of the latest growth at **6.03%**.

C. Annual growth rate 6-10 years.

For the annual growth rate of year 6-10, we applied a growth rate of 9.53% (Statista, 2023). 9.53% is acquired from the digital industry growth rate. Based on Damodaran (2018), the transaction value in digital companies could determine the growth rate of the industry in the long-run.

D. Annual growth rate >10 years.

After year 10, it is decided that the company will have 1% of users' growth rate, as there is no more room to increase its market share. On the other hand, the consideration of 1% is referring to the Damodaran (2018) valuation in Uber, where companies above 10 years most likely have a slower growing users' rate.

E. Inflation rate.

In valuing the potential additional users', inflation rate is used as a growth rate/basis assumption for the growth of value added per new users'. The inflation rate is taken from the 10 year average inflation in Indonesia, from 2013 until 2023 (Appendix 7, PwC 2023).

F. WACC.

Like in the previous section, where the research valued its existing users', WACC (Cost of Capital) is used as a discount rate in determining the present value. In this research, the WACC is 22.65% (Appendix).

By all the assumptions that have been elaborate above, below will be shown the calculation to determine a new users' value.

Table 4.7 Computation Table of Potential New Users'

Value of Potential New Users' (expressed in BILLION rupiah)											
/User	Base Year	1	2	3	4	5	6	7	8	9	10
Total users (number, millions)	67.65	71.73	76.06	80.65	85.52	90.68	96.15	105.31	115.35	126.34	138.38
New Users (number, millions)		4.3	4.6	4.9	5.2	5.5	9.2	10.0	11.0	12.0	13.2
Value per New Users	66	68	70	73	76	78	81	84	87	90	93
Value Added by New Users		296	325	357	392	430	746	845	958	1,086	1,232
Terminal Value											
Present Value		363	489	659	887	1,194	2,539	3,53	4,908	6,825	14,872
Value Added by New Users	36,271										

Source: Author (Appendix 9)

From the table above, first we need to input the base value of current total users'. The value of the 2023 total users' is set to be 67.65 million users'. Then, we should input the value of per new users', by deducting the existing per users' value of 857,175

(857) by the total expense in acquiring a new users' 790,940 million rupiah, and the value would be 66,235 (66) million rupiah per new users'. Afterwards we would conduct a growth rate towards the total users' using different assumptions stated above (depending on the year), and would find the total users' growth in each year. To obtain all users' added value during the year, we multiply value per new users' and the new users' added during the year (eg. Year 3; $4.9 \times 73,436$). Then, we apply a terminal value towards the value added by new users' in year 10 using the formula below;

$$\text{Terminal value} = \frac{\# \text{Total users}' \cdot \text{Terminal growth rate} \cdot \text{Value per new users}' \cdot (1 + \text{Inflation rate})}{(\text{WACC} - \text{Inflation})}$$

$$\begin{aligned} \text{Terminal value} &= \frac{(138.38 \times 1\% \times 93,431) \times (1 + 3.50\%)}{(22.65\% - 3.50\%)} \\ &= 698,877 \text{ (698) million rupiah} \end{aligned}$$

(IV.3)

Thus we would earn the terminal value in the year 10 with the amount above. Next the valuation would move to find the present value of PT. GoTo Gojek Tokopedia, in each year by discounting value added by new riders and the last year terminal value with the cost of capital WACC of 22.65%. Last but not least, we sum all all the year's present value and could acquire the total value of additional users' in an amount of 36,271,717 (37,271) million rupiah.

IV.2.5 Corporate Expense Value.

In order to complete the user-based valuation puzzle, corporate drag value must be calculated to be deducted by the total value of existing users' and additional users'. Here, the corporate expense drag value is using these accumulated expenses in 2023 which includes; general & administrative expense, product & development expense, depreciation & amortization expense of PT. GoTo Gojek Tokopedia (Table). The total accumulated expenses from these three expenses will be 11,835,975 million rupiah. Furthermore, the calculation of corporate drag value is then computed using these assumptions.

Table 4.8 Assumption to Corporate Expense Drag

Assumptions Incurred	Percentage (%)	Reference	Explanation Notes
Tax Rate	22%	PwC Flat Rate	A
Cost of Capital (WACC)	22.65%	Above	B
Growth Corporate Expense	3.50%	10 Years AVG inflation	C
GDP/Capita Growth	4.34%	10 Years AVG growth	
Average Growth	3.92%	None	

Source: Author (Appendix 6)

A. Tax rate.

The tax rate is applied at 22%. This goes the same with the two previous computations of value of existing users' and value of additional users'. In corporate drag expense, tax rates are applied after corporate expense in the address/selected year is found. The number of tax rates is taken from the flat tax rate for all industries.

B. Cost of capital (WACC).

The WACC (Weighted Average Cost of Capital) is valued at the amount of 22.65% (Appendix). In valuing the corporate expenses, WACC is used in determining the terminal value and the present value of corporate expense.

C. Corporate expense growth rate.

To determine the corporate expense growth rate, there are two variables that must be combined. First, is the average GDP/capita growth in the last 10 years (Appendix), and average inflation growth from the last decades (Appendix). After acquiring both variable average growth, then they both added and took the average value. The average growth of expense is 3.92%. The average of both variables are needed as expenses/costs are very related to inflation. The higher the inflation rate,

the higher the probability for goods/services to get more expensive. Secondly, we also need to consider the variable of GDP/capita growth, as this variable is related to the salary and wages of employees etc.

After collecting all of the assumptions needed, below will be shown the calculation of the corporate expense valuation that would be expressed in billion rupiah, referred to Appendix 10.

Table 4.9 Computation Table of Corporate Drag Value

Value of Corporate Expense Drag (expressed in BILLION rupiah)											
/User	Base Year	1	2	3	4	5	6	7	8	9	10
Corporate Expense	11,835	12,299	12,782	13,283	13,803	14,344	14,907	15,491	16,098	16,73	17,385
Tax Rate (%)		22%	22%	22%	22%	22%	22%	22%	22%	22%	22%
After-Tax Corporate Expense		9,593	9,97	10,36	10,767	11,189	11,627	12,083	12,557	13,049	13,56
Terminal Value		None									92,184
PV of Corporate Expense		7,822	6,627	5,615	4,758	4,031	3,416	2,894	2,452	2,078	13,73
Value Drag Expense		53,428									

Source: Author (Appendix 10)

To compute the corporate drag expense value, first we must input the current base year corporate drag expense at 11,835,975 (11,835) million rupiah. After that, we forecast its growth at 3.92% until 10 years ahead. After acquiring the forecasted expense until the next 10 years, all of the upcoming years (year 1-10) expense is then deducted by 22%. Afterwards, the terminal value is then computed using the following formula below including the year 10th corporate after tax estimated value, and including the risk free rate (6.92%) and WACC (Appendix 5).

$$\text{Final year terminal value } (n) = \frac{\text{Final year after tax corporate expense} \cdot (1 + \text{Risk free rate})}{(\text{WACC} - \text{Risk free rate})}$$

$$\begin{aligned} \text{Final year terminal value } (n) &= \frac{(13,560,947 \cdot (1 + 6.92\%))}{(22.65\% - 6.92\%)} \\ &= 92,184,563 \text{ (92,184) million rupiah} \end{aligned}$$

(IV.4)

After acquiring the terminal value in year 10, the present value of each after-tax corporate expense is then calculated. Specifically for year 10, the formula of

present value includes the terminal value to be added in. In addition, the discount rate for present value uses the WACC (Appendix). Last but not least, summarizing all of the 10 years present value corporate expense determine the value drag corporate expense which is 53,428,041 (53,428) million rupiah.

IV.2.6 Valuation Results.

After computing all the three main values, existing users', new users' and corporate expense value, now the task is to combine all of those values based on the valuation conducted by Aswath Damodaran (2018) to Uber.

Table 4.10 Computation Value of PT. GoTo Gojek Tokopedia

Total User Based Valuation Approach (in million rupiah)	
Existing Users' Value	57,987,872
Value of Additional Users'	36,271,717
Total User Value	94,259,589
Corporate Value Expense	53,428,041
Value of Operating Assets	40,831,548
Cash & Cash Equivalent 23'	30,688,417
Firm Value	71,519,965
Short-term Debt 23'	12,822,544
Value of Equity (PT GoTo Gojek Tokopedia Tbk)	58,697,421

Source: Author

From the table above, it is shown the process to acquire the user-based valuation result of PT. GoTo Gojek Tokopedia. First is adding the existing users' value and the value of additional users' to get the value of total users'. The total users' value is 94,259,589 million rupiah. After that, the total users' value is deducted by the corporate expense value, and it comes out as a result of 53,428,041 million rupiah operating assets value. Afterwards, we should add the result with cash & cash equivalent that the firm has (Appendix 1), resulting in a firm value of 71,519,965 million rupiah. Last but not least, to acquire the equity value, the firm value (previous

results) must be deducted by the short-term debt in 2023 of 12,822,544 million rupiah (Appendix), resulting in a value of an equity of 58,697,421 million rupiah.

IV.3 Comparison of User-Based Valuation and Market Cap.

As it is stated in the previous session, the total value of PT. GoTo Gojek Tokopedia is 58,697,421 million rupiah. Furthermore in the year 2023, there are a total number of shares outstanding of 1,201,409 million. By this the company value/share would be 48.86 rupiah (Appendix). Furthermore, additional benchmarks are the amount of PBV (2.93x) and PER (-22.65) (Appendix).

As it is stated in the previous history, the company median market value in the first quarter of 2024 is +-104,522,583 million rupiah and the value per share is +-87.00 rupiah (Yahoofinance, 2024). From this data we could justify the company is overvalued by 43.84% compared with the user-based valuation result.

On the other hand, comparing with the market cap of +- 81,695,812 million rupiah and a median value per share +-68.00 rupiah in the second quarter of 2024, the company is overvalued by 28.15% compared to the user-based valuation conducted in this research (Yahoofinance, 2024).